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MOMENTUM BUYING OPTION



Strategy video

Trading big events require experience in the market. It is not easy to get a sense of how the market will behave ahead of any major political event. Ahead of such days, traders stay cautious and trade with less quantity because large whipsaws can hit stoploss and sometimes, with a lack of stoplosses the whole capital can be blown. Anyone can read charts and analyze the market, but not everybody can handle their running trades.



The traditional strategy for such big event days is creating a long straddle. Long straddle involves buying At-The-Money Call and Put options of the same strike price of the same expiry. The idea behind this strategy is to be prepared for explosive moves on either sides.

